ITAI MOTSI
versus
TIANZE TOBACCO (PVT) LTD

HIGH COURT OF ZIMBABWE
MAWADZE DJP & WAMAMBO J
HARARE, 14 JANUARY 2025 & 11 MARCH 2026

R.C Muchenje for the appellant
L. Tarumbwa for the respondent

WAMAMBO J:

The appellant is a male adult, whilst the respondent is a company duly registered and incorporated in accordance with the laws of Zimbabwe. The respondent's core business is the provision of tobacco farming inputs on credit to local farmers, while the appellant is/was a tobacco farmer. Between 2008 and 2011, the parties entered into a tobacco farming inputs agreement, where the respondent would supply tobacco farming inputs to the appellant on credit. In terms of their agreement, any dispute arising between the parties was to be resolved through arbitration.

A dispute arose between the parties when the appellant failed to pay monies due in terms of the agreement. In 2012, the respondent instituted arbitration proceedings to resolve the dispute and to recover the outstanding monies. The appellant acknowledged his indebtedness towards the respondent and the parties concluded a deed of settlement on 20 June 2018. At the time that the deed of settlement was concluded, the appellant owed the respondent an amount of USD 12 000-000. In terms of the deed of settlement, the appellant was to pay the entire outstanding balance by 28 February 2020.

The respondent alleged that the appellant breached that deed of settlement in that he had not paid the remaining balance by 28 February 2020, prompting it to institute legal proceedings in the Magistrates' Court ("court a quo"). The respondent issued summons claiming payment of USD 8 145-10, allegedly outstanding in terms of the deed of settlement, as well as other ancillary relief. The appellant entered an appearance to defend. The respondent then applied for a

summary judgment in terms of Order 15(1) of the Magistrates' Court (Civil) Rules, 2018 ("the Magistrates' Court (Civil) Rules"), indicating that the appellant had no bona fide defense to its claim.

The appellant opposed the application for summary judgment. He argued that the court did not have the jurisdiction to entertain the matter. In motivating that argument, he stated that the respondent's claim had arisen from their initial agreement, which provided that any dispute in terms of the same ought to be submitted to arbitration. He therefore implored the court a quo to stay the proceedings and refer the matter to arbitration. The respondent objected to the point of jurisdiction. It argued that the court a quo had the jurisdiction to hear its claim, in terms of the deed of settlement concluded between the parties, which authorized it to institute legal proceedings against the appellant in the event of further breach.

On the merits, the appellant acknowledged his indebtedness but disputed the amount of money allegedly owed by him. He indicated that he had paid USD 4000-00 to the respondent, through a bank (ZIPIT) transfer on 20 April 2020. He alleged that he notified the respondent about the payment and that the same promised to give him feedback on whether it had received the money. He further averred that the respondent did not give him the feedback as it had promised. He stated that therefore, he did not trace the transaction because he was of the impression that the respondent had received the money. Whereas, the respondent denied ever receiving such money from the appellant, it indicated that it had repeatedly notified the appellant that it had not received that money. It therefore insisted that the same was owing it an amount of USD 8 145-10.

After taking note of the parties' averments and hearing their submissions, the court a quo highlighted that once the defendant acknowledged his indebtedness, there was no need to take the matter to arbitration because most of the issues had been overtaken by events. On the merits, the court a quo found that the appellant had not proved that the alleged USD 4000-00 was paid and received by the respondent. The court a quo also took note of the letter dated 3 April 2023, wherein the appellant was proposing a payment plan to extinguish the debt. It questioned why the appellant had acknowledged the entire debt if he had made payment of USD 4 000-00 in 2020. It further found that there was no proof that the appellant had paid any money towards the outstanding balance that was being claimed by the respondent. The court a quo thus concluded that the appellant had no bona fide defense to the respondent's claim and that he had entered an

appearance to defend for dilatory purposes. In the result, the court a quo granted the application for summary judgment. Aggrieved by the decision of the court a quo, the appellant noted the present appeal on the basis of the following grounds:

GROUNDS OF APPEAL

> "1. The court a quo erred in granting the application of summary judgment when the court had no jurisdiction to entertain the matter.
>
> 2. The court a quo erred in granting the application for summary judgment when the requirements for such application were not met."

RELIEF SOUGHT

The appellant prays that:

> "1. That the instant appeal succeeds with costs.
> 2. That the judgment of the court a quo be set aside and be substituted with the following;
> 'The application for summary judgment be and is hereby dismissed with costs.'"

SUBMISSIONS BEFORE THIS COURT

With regards to the first ground of appeal, the appellant submitted that the court a quo erred in granting the application for summary judgment when it had no jurisdiction to deal with the matter. He insisted that clause 17 of the initial agreement between the parties provided that any dispute between them ought to be submitted to arbitration. He cited the cases of Edgars Stores Managers Association v Edgars Stores Ltd SC 103-04 and Shell Zimbabwe (Pvt) Ltd v Zimsa (Pvt) Ltd & Anor 2007 (2) ZLR 366 (H) to support the argument that where parties to an agreement would have unequivocally agreed to arbitration as their dispute resolution mechanism, their dispute should be referred to such. The appellant submitted that the deed of settlement was concluded within the context of arbitration and that therefore, the respondent ought to have gone back to an arbitrator and have him convert the same into an arbitral award. He submitted that thereafter, in terms of article 30 (1) of the Arbitration Act [Chapter 7:15], the respondent would then approach the court for registration of such arbitral award to enable its execution.

In response, the respondent argued that the court a quo was correct to find that it had the jurisdiction to entertain the matter based on the deed of settlement. It acknowledged that indeed, the original agreement between the parties prescribed arbitration as the mode of resolving any disputes between the parties. It indicated that however a deed of settlement which was concluded by the parties was a compromise at law. It cited the cases of Georgias and Another v Standard

Chartered Bank 1998 (2) ZLR 488, Kempen v Kempen SC 14-16 among other case law authorities and argued that once parties enter into a deed of settlement, they agree to regulate their affairs in terms of such. It therefore contended that the arbitration clause in the original agreement was extinguished by Clause 5 of the Deed of settlement which authorized the respondent to institute legal proceedings against the appellant should the latter fall in breach.

On the second ground of appeal, the appellant argued that the court a quo erred in granting the application for summary judgement when the requirements for such were not met. He submitted that before the court a quo, he disputed the amount claimed and furnished evidence to the effect that he paid USD 4000-00 to the respondent, through a ZIPIT platform. He alleged that the respondent never indicated that it had not received the money. He stated that as a result, he never bothered to trace this payment under the impression that the respondent had received it.
In response, the respondent submitted that the appellant did not specify the requirements for summary judgment, which were not proved. It stated that such broad submission by the appellant left the respondent speculating as to which requirement was allegedly not met. The respondent submitted that its claim in the court a quo was for a liquidated amount of USD 8 145-10 and that it established such claim by producing the deed of settlement. It submitted that the court a quo observed that the appellant had acknowledged the debt and that therefore the requirements for summary judgment were met. The respondent contended that the onus was on the appellant to prove that he had paid the alleged USD 4000-00. It stated that the appellant failed to prove such and that therefore the court a quo could not be faulted for concluding that the appellant owed the respondent the amount claimed.

ISSUES FOR DETERMINATION

1. Whether or not the court a quo had the jurisdiction to determine the parties' dispute.

2. Whether or not the court a quo was correct in granting the application for summary judgment.

ANALYSIS

It is common cause that the original agreement between the parties provided for arbitration as their dispute resolution mechanism. The question is whether the dispute between the parties was to be governed by the original contract or by the deed of settlement. In Peppy

Motors (Private) Limited t/a Agritech and Ors v Ruzirun Investments (Pvt) Ltd & Ors SC 20-23, at page 5, CHATUKUTA JA stated that:

"Although the original debt arose in 2014, the parties entered into a deed of settlement in May 2019. The question whether a deed of settlement constitutes a compromise and creates a new obligation was answered in the case of Georgias & Anor v Standard Chartered Bank Zimbabwe Limited 1998 (2) ZLR 488 (S) at 496 E-G where the court held that:

> "The purpose of compromise is to end doubt and to avoid the inconvenience and risk inherent in resorting to the methods of resolving disputes. Its effect is the same as res judicata on a judgment by consent. It extinguishes ipso jure any cause of action that previously may have existed between the parties, unless the right to rely thereon was reserved. See Nagar v Nagar 1982 (2) SA 263 (ZH) at 268E-H. As it brings legal 6 Judgment No. SC 20/23 Civil Appeal No. SC 314/21 proceedings already instituted to an end, a party sued on a compromise is not entitled to raise defences to the original cause of action." (Italicizing for emphasis).

She further stated at pages 6 -7 that:

> "In casu, the deed of settlement and the consent order were issued on the same date, 20 May 2019, three months after the effective date. The argument by the respondents that the deed of settlement and the consent order were merely based on the agreement of sale executed in 2014 therefore lacks merit. This is because the deed of settlement and the consent order constituted a new obligation different from the original obligation to pay the appellant. A compromise by its nature extinguishes the original rights and obligations creating new ones as happened in this case…."

Hence, a deed of settlement extinguishes all existing rights and obligations, thereby creating new ones. It also governs the parties' affairs and matters that arise thereafter. In casu, clause 5 of the deed of settlement provided that:

> 'failure by the respondent to comply with any term of this Deed of Settlement, the whole outstanding sum shall become due and payable and the claimant shall institute legal proceedings against the respondent to recover the whole outstanding amount.'

The contention between the parties revolved around the definition of the term 'legal proceedings'. The respondent averred that such term meant that in case appellant breached the deed of settlement, it was authorized to sue the same in a court of law. Whereas, the appellant argued that the reference to institution of legal proceedings did not mean that the parties agreed to institute legal proceedings in ordinary courts of law. He argued that arbitration proceedings are legal proceedings too.

The court will therefore explore the meaning of the term 'legal proceedings' in order to establish what the deed of settlement meant by that term. Legal proceedings refer to any

proceedings authorized by law and instituted in a court or tribunal to acquire a right or enforce a remedy. Now, one may argue that an arbitration panel/forum also constitute a tribunal. A Tribunal is defined as a court or other adjudicatory body. For the avoidance of doubt, adjudication refers to the legal process of resolving a dispute or the process of judicially deciding a case. Arbitration on the other hand, is a method of dispute resolution involving one or more neutral third parties, who are usually agreed to by the parties to make a binding determination over the dispute. It does not involve a judicial way of determining cases. Hence arbitration proceedings do not fall under the ambit of legal proceedings. It is therefore clear that by referring to 'legal proceedings', the deed of settlement meant that in the event that the appellant breaches the same, the respondent was to recover the outstanding balance through litigation. Put differently, the remedy available to the respondent in terms of the deed of settlement was to sue the appellant in a court of law. Therefore, the court a quo correctly concluded that it had the jurisdiction to determine the respondent's claim. In that regard, the first ground of appeal lacks merit.

On the second ground of appeal, the appellant challenges the finding of the court a quo, that there was no bona fide defense to the respondent's claim and that appearance to defend was entered solely for the purpose of delay. An application for summary judgement is made in terms of Order 15 of the Magistrates' Court (Civil)Rules. Order 15, rule 1(1) provides that:

> "1. (1) Where a defendant has entered an appearance to defend, the plaintiff whether in the main claim or counterclaim, may by application supported by a founding affidavit apply to the court for summary judgment on any claim in the summons…"

The requirements for summary judgment to be granted were stated in Tavenhave & Machingauta Legal Practitioners v The Messenger of Court SC 53-14. The Court stated at page 4 that:

> "Summary judgement is a drastic remedy which will only be granted where it is clear that the defendant has no bona fide defence and has entered appearance to defend solely for purposes of delay. Because of the drastic nature of the remedy a court will not grant it if there is any possibility that the defence raised on papers might succeed. Thus it has been held that a mere possibility of success will suffice to avoid an order for summary judgment and that;
>
> 'all that a defendant has to establish in order to succeed in having an application for summary judgment dismissed is that "there is a mere possibility of his success;" "he has a plausible case;" "there is a triable issue;" or, "there is a reasonable possibility that an injustice may be done if summary judgment is granted.'" (Italicizing for emphasis).

Also, in *Bastin* v *Madzima* SC 37-20 at page 11, the Court stated that:

> "There can be no doubt that the appellant did not point to any bona fide defence to the respondent`s claim or to any triable issue as would dissuade the court a quo to grant summary judgement. While summary judgement is an extra ordinary remedy given that it deprives a litigant, desirous of defending an action, the opportunity to do so without regard to the audi alteram partem rule, it has always been granted by the courts to an applicant possessing an unassailable case. It is trite that such an applicant should not be delayed by resort to a trial, whose outcome is a forgone conclusion.
>
> It is also trite that in order to defeat an application for summary judgment, a respondent must set out a bona fide defence with sufficient clarity and completeness to enable the court to decide whether the opposing affidavit discloses facts which, if proved at the trial, would entitle the respondent to succeed". (Italicizing for emphasis).

From the above authorities, summary judgment may be granted where it is clear that the defendant has no bona fide defense and that he or she has entered appearance to defend solely for dilatory purposes. The court must ensure clearly that there is no triable dispute between the parties. Hence, the opposing affidavit must disclose facts which, if proved at the trial, the defendant would succeed. Put differently, a summary judgment should not be granted if there is a mere possibility that the defense raised might succeed if the matter is referred to trial.

The term 'material disputes of fact' was defined in *Muzanenhamo* v *Officer in Charge CID Law* and Order & Ors CCZ 3-13 at page 4, where it was held that:

> "As was observed by Makarau JP (as she then was) in Supa Plant Investments (Pvt) Ltd v Chidavaenzi 2009 (2) ZLR 132 (H) at 136F-G:
> "A material dispute of facts arises when material facts alleged by the applicant are disputed and traversed by the respondent in such a manner as to leave the court with no ready answer to the dispute between the parties in the absence of further evidence."

The Court further held as follows at page 5:

> "In this regard, the mere allegation of a possible dispute of fact is not conclusive of its existence... The respondent's defence must be set out in clear and cogent detail. A bare denial of the applicant's material averments does not suffice. The opposing papers must show a bona fide dispute of fact incapable of resolution without viva voce evidence having been heard." (See also *Room Hire Co. (Pty) Ltd* v *Jeppe Street Mansions* ((Pty) Ltd 1949 (3) SA 1155 (T) at 1163.)

Hence, after taking note of the facts presented by both parties, the court ought to be left with no ready answer to the dispute between the parties, such that evidence must be led for that answer to be there. In casu, in opposing the summary judgment application, the appellant stated

that he had paid USD 4000-00 to the respondent, through a ZIPIT platform. He alleged that the respondent promised to give feedback on whether or not it had received the money. He further alleged that the respondent did not give that feedback as it had promised. He stated that as a result, he got the impression that the respondent had received the money and that therefore did not bother to trace this payment.

The respondent insisted that it never received that amount. It also stated that never at any point did it operate the bank account through which the USD 4000-00 was allegedly paid. It indicated that it repeatedly notified the appellant that it had not received the USD 4000-00 and that it was not the owner of and had never used the alleged bank account. The respondent further stated that the appellant had more than 2 years to enquire from the bank, given that he was the depositor, to verify/establish the exact holder of that account and or the recipient of the money. It argued that the fact that the appellant neglected to trace this payment if it ever happened, was a clear sign that he had not sent any money.

On the record, there are WhatsApp chat extracts (allegedly communication between the parties). They show some bank statements to the effect that USD 4000-00 had been paid in to a ZB account number: 4113 2004 60080. The appellant claimed to have sent that money to the respondent. However, the evidence on the record does not indicate the sender or the recipient of that amount. It is therefore difficult to rely on such evidence in determining whether the money was sent to the respondent.

The appellant alleged that in the letter dated 26 February 2024, the respondent had promised to give him feedback on whether or not it had received the money in question. In that letter, the respondent acknowledged receiving some other transactions and not the USD 4000-00 in question. In that letter, the respondent stated that:

> "…kindly bear with us on the second issue of $4000 deposited into account 4113 2004 60080…"

It is not clear to the Court if by that statement, the respondent meant or promised that he was going to provide feedback to the appellant. In letters dated 3 May 2022 and 4 March 2024, the respondent was communicating to the appellant that they had not received a certain amount which the appellant alleged to have sent. Though not clear if the respondent was referring to the alleged USD 4000-00, I want to believe that it is the one. My view is based on the fact that it is the only amount which was allegedly paid by the appellant to the respondent and was never acknowledged by the latter.

The respondent managed to prove on a balance of probabilities that he notified the appellant that it never received the alleged payment, neither was it aware of the alleged bank account. Hence, suppose the appellant erroneously sent the money to a third party, he would have taken measures to trace the payment, especially after some correspondences from the respondent indicating that it had not received the payment and that it never operated the alleged bank account. I agree with the respondent's averments in the court a quo that given that the appellant was the depositor and obviously the one set to run a loss if the transaction was made in error, he would have taken measures to trace this payment. Even on appeal, the appellant had not showed that he had taken such measures. The Court is therefore convinced that the appellant was not being truthful.

I also agree with the sentiments of the court a quo regarding the letter dated 3 April 2023, wherein the appellant was seemingly acknowledging the entire debt which was subject of the matter in the court a quo. The appellant did not dispute being the author of that letter. In the letter, the appellant proposed the following payment plan:

a. USD 2 000-00 on or before 30 April 2023,

b. USD 2 000-00 on or before 31 August 2023,

c. USD 2 000-00 on or before 30 April 2024,

d. Balance on or before 31 August 2024.

As indicated earlier, at the time that the deed of settlement was concluded, the appellant owed the respondent an amount of USD 12 000-00 and by 28 February 2020 (the deadline or the date on which the appellant ought to have finished paying the debt), the appellant was owing an amount of USD 8 145-10. The appellant claimed that he had made payment of USD 4 000-00 to the respondent in 2020. If one subtracts the alleged USD 4 000-00 from the USD 8 145-10, it means that by 3 April 2023, the appellant was supposed to be owing the respondent about USD 4 145-00. The question is therefore why did the appellant acknowledge owing the respondent at least USD 6 000-00? A reading of the payment plan leaves any reasonable person with the conclusion that the appellant was acknowledging the entire debt in that letter. Clearly, the appellant did not discharge his onus to prove that he had paid USD 4000-00 to the respondent. The court a quo can therefore not be faulted for concluding that the appellant owed the

respondent the entire USD 8 145-10 claimed in the summons and that he did not have a bona fide defense to the respondent's claim. In that regard, the last ground of appeal lacks merit.

In conclusion, the court a quo had the jurisdiction to deal with the respondent's claim and such jurisdiction was found in terms of the deed of settlement signed by the parties, thereby novating their original agreement. Also, the court a quo correctly granted the application for summary judgment because the appellant did not have a bona fide defense to the respondent's claim and did not demonstrate that there were triable issues to ventilate. Thus, the entire appeal lacks merit and ought to be dismissed.

The issue of costs was agreed upon by the parties in the deed of settlement concluded between them. Clause 6 of the same provides that:

> "In the event of claimant instituting legal proceedings against the respondent, the respondent shall be liable to pay costs of suit on the legal practitioner and client scale."

Hence, the issue of costs shall be governed by the same deed of settlement. In the result, it is ordered as follows:-

1. The appeal is dismissed.

2. The appellant shall pay the first respondent costs on the legal practitioner and client scale.

WAMAMBO J: …….

MAWADZE DJP agrees: ……

Mawonera Attorneys, Appellant's Legal Practitioners
Mbidzo Muchadehama & Makoni Legal Practitioners, Respondent's Legal Practitioners